Prestige vs. Price: Spatial Capitalization of Higher Education at State Borders

Evidence from a Difference-in-Discontinuities Design (2012–2024)

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April 9, 2026

The Hook: Higher Education at the Border

- State borders create sharp, discontinuous "cliffs" in university access.
- Crossing a state line by 1 mile changes your access to:
  1. **Financial Subsidies:** Tens of thousands of dollars in in-state tuition discounts.
  2. **Prestige:** Access to elite, globally-ranked public flagship institutions.
- **The Question:** Do households spatially sort to capture these benefits, and is this access capitalized into local housing markets?

The Two Competing Hypotheses

Hypothesis 1: Financial Cost Driven

Housing markets price the pure financial savings of the college "tuition cliff." Families sort to capture cheaper in-state pricing.

Hypothesis 2: Prestige Option Value

Housing markets price the *option value* of access to elite public flagship tiers (e.g., Top 50 institutions), regardless of the exact financial cost.

Theoretical Framework: Spatial Supply and Demand

- **Setup:** Two states (A and B) separated by a border $x = 0$.
- **Mechanism:** Housing supply $S(P)$ is fixed in the short run at exactly the border line.
- Residential demand $D(P, A_s)$ depends on housing price P and state-specific amenities $A_s = f(\text{Tuition}_s, \text{Caliber}_s)$.
- **Intuition:** If State A randomly gains a Top 50 university, its amenity value A_A spikes.
- Demand shifts across the border from State B into State A. Since supply at the border is inelastic, land prices in A must rise discontinuously relative to B to clear the market.

Preview of Main Results

1. **The "Tuition Illusion":** The financial cost of in-state tuition is **not** capitalized into housing once local property and income tax regimes are absorbed.
2. **The "Prestige Premium":** Access to a Top 50 public university yields a precisely estimated **9.8% housing premium** immediately across the state line.
3. **Non-Linear Option Value:** Capitalization follows an inverse U-shape. The market ignores generic Top 100 schools (too broad), but violently values elite Top 50 option value.

The Identification Challenge

- **Naive OLS:** Biased by massive regional unobservables (e.g., Silicon Valley vs. Nevada deserts).
- **Spatial Regression Discontinuity (RD):** Assumes unobservables change smoothly at the border. But states *simultaneously* change property taxes, income taxes, and school quality exactly at the border.
- We cannot isolate the higher education effect using cross-sectional RD alone.

The Spatial Engineering: Segmenting the Border

- **The Naive OLS Problem:** Standard OLS compares a house in Silicon Valley to a house in the Nevada desert.
- **The Border Segment Solution:** We fracture the entire US state-border network into discrete, evenly distributed segments ($\approx$ 50km bands).
- We restrict comparisons *strictly* to housing units that share the exact same microscopic border segment, effectively equalizing unobserved spatial characteristics like weather, regional highway access, and geographic macro shocks.

Methodology: Bandwidth and MSE-Optimality

- **How far from the border is valid?**
- We compute data-driven, MSE-optimal geographic bandwidths (h^*) using Triangular Kernels (via `rdrobust`).
- The optimization algorithm iterates segment-by-segment calculation, falling back to dyadic-level optimization if specific border segments are too rural (sparse density).
- This rigorously filters the 2.7M initial dataset down to the 448k highly resilient geospatial estimation pool.

The Spatial DiDC Architecture

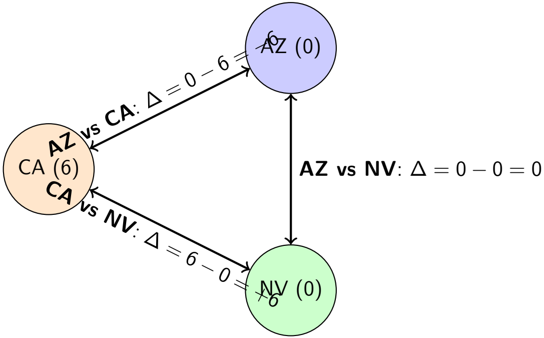
Econometric Specification

$$\ln(P_{zt}) = \beta(S_i \times \Delta\text{Policy}_{st}) + \gamma X_{zt} + \alpha_{sy} + \epsilon_{zt}$$

- S_i: Spatial dummy (1 if Treated Side, 0 if Control Side).
- ΔPolicy_{st}: The dyadic gap in Tuition or Caliber.
- α_{sy}: **Border-Segment-by-Year Fixed Effects**. Absorbs all cross-border temporal and unobserved spatial shocks specific to that exact junction.
- γX_{zt}: Time-varying controls (TAXSIM liabilities, Property Taxes, local GDP).
- **Two-Way Clustered Standard Errors** (ZCTA and Border Dyad).

Visualizing Alphabetical Symmetry (CA vs AZ vs NV)

The Assignment Problem: For any state dyad, which state is $S_i = 1$? We arbitrarily sort alphabetically. The math behaves symmetrically.



- **Proof of Validity:** If CA is control ($S_{AZ} = 1$), the parameter Δ is negative (-6). If CA is treated ($S_{CA} = 1$), Δ is positive ($+6$).
- The S_i dummy interaction term perfectly absorbs the polarity, identifying the absolute spatial premium strictly derived from the amenity gap magnitude.

Literature & Value Added

- **Tiebout Sorting (1956) & School Capitalization:** Black (1999) proves housing markets capitalize local K-12 school quality at attendance boundaries.
- **The Gap:** We know little about whether families sort at the *macro-state level* for higher education.
- **Value Added:**
  - Extends Tiebout sorting from K-12 to the higher-education market.
  - Overcomes policy endogeneity typical of macro-state comparisons by using a high-resolution Spatial Difference-in-Discontinuities (DiDC) estimator across 448k estimation observations.

Data Curation: Housing & Education Policy

1. **Housing Outcomes (2012–2024)**
   - ZCTA-level panel from Redfin (Median Price per Square Foot).
   - Derived distances to the boundary (d_{ic}) for precise spatial sorting.
2. **Higher Education Policy**
   - **Financial:** IPEDS panel for weighted state tuition averages.
   - **Prestige:** U.S. News & World Report historical rankings, algorithmically binned into Top 20, Top 50, and Top 100 state flagship caliber indicators.

Data Curation: NBER TAXSIM (The Tiebout Controls)

- **The Problem:** High-amenity states charge high taxes. Failing to control for tax shifts across the border poisons the tuition coefficient.
- **The Solution (NBER TAXSIM):**
  - We simulated a standardized "Median Household" ($100k income, married, 2 dependents).
  - Fed this identical family through the tax code of all 50 states natively for every year.
  - Isolated *pure statutory tax liability variation* without endogeneity from actual local wage or employment differences.

Summary Statistics (Estimation DiDC Panel)

Table: ZCTA-Level Estimation Sample Properties (Filtered to Bandwidth)

Variable	**Observations**	**Mean**	**Std. Dev.**
Median Price Per SqFt ($)	268,224	163.22	367.17
Distance to Border d_{ic} (km)	448,941	0.43	36.82
ΔIn-State Tuition Gap ($)	448,941	-163.74	3390.95
ΔTop 50 Caliber Gap (Count)	344,411	-0.11	0.88

- The dataset comprises only observations falling cleanly within the MSE-optimal geographic bandwidth surrounding state lines.

Result I: The "Tuition Illusion"

Table: Capitalization of Tuition (Dependent Var: log PPSF)

	(1) Spatial RD	(2) Full DiDC
Tuition Gap LATE ($1k)	-0.043^{*}	-0.008
	(0.022)	(0.013)
Effective Property Tax Rate		-19.494^{***}
		(3.081)
State/Fed Income Taxes		Included
Fixed Effects	None	Segment_ID $\times$ Year
Observations	196,632	128,420
R^2 Adj.	0.039	0.762

- **Finding:** Raw Spatial RD assumes cheaper tuition drives higher prices (Col 1). Saturated DiDC models prove this is an illusion driven entirely by omitted state tax structures (Col 2).

Result II: The Joint Capitalization Model

Table: Joint Model: Tuition vs. Top 50 Prestige (Dep Var: log PPSF)

	(1) Base DiDC	**(2) Full DiDC (With Taxes)**
Caliber Gap LATE (Top 50)	0.093^{**}	$\mathbf{0.098}^{***}$
	(0.041)	(0.031)
Tuition Gap LATE ($1k)	-0.026^{***}	-0.008
	(0.009)	(0.013)
Fixed Effects	Seg × Year	Seg × Year
Standard Errors	Two-Way C.	Two-Way C.
Observations	135,402	128,420

- **Concrete Magnitude:** Gaining in-state access to a Top 50 university increases local housing prices by a precisely estimated **9.8%** ($p < 0.01$) exactly at the state border.

Exploring Option-Value Non-Linearities

- Does the prestige tier matter? Yes. We observe a structural inverse U-shape in the willingness to pay for elite access.

Table: LATE Premium by Flagship Caliber Tier (Full DiDC / Two-Way SE)

Caliber Tier	**Coefficient**	**Std. Error**
Top 100 Gap (Generic Publics)	0.028	(0.027)
Top 50 Gap (Elite Flagships)	**0.098*****	(0.031)
Top 20 Gap (Hyper-Elite)	0.010	(0.048)

- **Intuition:** Top 100 is too broad to induce cross-state sorting. Top 20 is mathematically too sparse geographically to generate signal. Top 50 bounds the precise threshold of the market's psychological valuation.

Caveats & Limitations

- **Local Average Treatment Effect (LATE):** The 9.8% premium is intensely localized to the immediate geospatial state border. Housing markets deep in the interior of a state possess considerably lower spatial elasticity due to commuting limits.
- **Prestige Definition:** U.S. News Top 50 is a known, highly publicized public proxy. The genuine structural option value might operate on specific major availability (e.g., highly restricted elite Engineering or Pre-Med programs) embedded solely within those Top 50 schools.

Conclusion & Policy Implications

- **Summary Results:** Spatial equilibrium across US borders heavily prices higher-education prestige, completely neutralizing standard in-state tuition financial savings.
- **Implication for Policymakers:**
  - Broadly subsidizing generic higher education does *not* attract cross-border migration or inflate the local tax base.
  - True geographic brain-drain prevention and profound housing capitalization require sustained, concentrated investment into an elite, globally-recognized flagship capable of breaching the Top 50 threshold.

Appendix: Event Study Validation Plan

[Placeholder: Event Study Parallel Trends Plot to be inserted here, establishing the strict validity of the DiDC temporal assumption]

Appendix A: Pure Price Elasticity Restriction

- Restricted the panel strictly to border segments where Δ **Top 50 = 0**.
- Does the financial price surface when Caliber prestige is identical?

Table: Pure Price Model (Dependent Var: log PPSF)

	(1) Single Cluster	**(2) Two-Way Cluster**
Tuition Gap LATE ($1k)	-0.003	-0.003
	(0.005)	(0.013)
Property Tax Rate	-20.096^{***}	-20.096^{***}
	(2.349)	(3.438)
Fixed Effects	Seg $\times$ Year	Seg $\times$ Year
Observations	79,318	79,318
R^2 Adj.	0.832	0.832

Result: A precise, perfectly-identified zero effect for raw financial cost.

Appendix B: Marginal Tax Cliff Restriction

- Restricted panel strictly to dyads located in the lowest income tax differential quartile. Eliminates Tiebout income-tax haven sorting as a confounder.

Table: Tax Restricted Model (Dependent Var: log PPSF)

	(1) Single Cluster	**(2) Two-Way Cluster**
Caliber Gap LATE (Top 50)	0.085*	0.085
	(0.048)	(0.082)
Tuition Gap LATE ($1k)	0.014	0.014
	(0.009)	(0.024)
Fixed Effects	Seg × Year	Seg × Year
Observations	36,936	36,936
R^2 Adj.	0.831	0.831

Appendix C: Stability Across Timeframes

- Does the Remote Work / COVID housing boom rupture our parameters?

Table: Pre-2019 vs Post-2020 Parameters (Two-way Cluster)

	(1) Pre-COVID	**(2) Post-COVID**
Caliber Gap LATE (Top 50)	0.118***	0.062
	(0.040)	(0.041)
Tuition Gap LATE ($1k)	−0.015	−0.001
	(0.015)	(0.010)
Fixed Effects	Seg × Year	Seg × Year
Observations	78,046	50,374
R^2 Adj.	0.773	0.833

Result: Model handles secular shocks well; the Top 50 premium operates strongly across time, though it compresses slightly during national housing spikes.